

Compliance & Tax Addendum

Cross-border obligations: US & Mexico homes, non-US renters, US-based tools

This is not legal or tax advice. It identifies areas to address and questions to take to professionals. Engage a **cross-border tax attorney**, **Mexican tax/legal counsel**, and a **privacy attorney** before launch. Rules change and vary by city/state; web research was unavailable when this was written, so verify everything against current law.

Familiar Guest will have homes in both the **US and Mexico**, owners who may be US, Canadian, or Mexican persons, and renters from the US, Canada, Mexico, and beyond. That mix triggers obligations in multiple jurisdictions across tax, payments, identity, contracts, and privacy.

1 • The Big One: Mexico Digital-Platform Tax Withholding

Highest-priority item. Since 2020 Mexico requires digital platforms that facilitate lodging to **withhold and remit ISR (income tax) and IVA (VAT) on host earnings**, register with SAT, and report. If Familiar Guest processes payments for Mexico-located stays, it may be treated as such a platform — creating Mexican registration, withholding, and remittance duties (and possibly the need for a Mexican RFC/entity). This is exactly what Airbnb does today.

Resolve the structure with Mexican counsel **before** taking live payments for Mexican homes: does FG withhold as the platform, or is the flow structured so the owner remains the taxpayer of record?

2 • Owner Income & Lodging Taxes

Topic	US home	Mexico home
Income tax on rent	Owner reports on IRS Schedule E + state income tax	ISR on rental income; foreign owners must register with SAT (RFC)
VAT / sales	Generally none on residential STR (varies)	IVA 16% typically applies to short-term lodging
Lodging / occupancy tax	City/county TOT or state lodging tax — collect & remit; rules vary widely	State lodging tax (ISH, ~3% in Baja California Sur)
Who collects it	Owner, or platform if a "marketplace facilitator" in that state	Owner today; platform if deemed the intermediary (see §1)
Our role	Provide income/booking exports; show tax line items; no tax-advice features	Same — plus the withholding question in §1

Marketplace-facilitator laws (US): many US states require the booking platform — not the owner — to collect and remit lodging/sales tax. Whether FG qualifies, and in which states, needs review as US listings are added.

3 • Payments & Financial Compliance

Area	Action / note	Who
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Money transmission	Keep Stripe as processor/merchant-of-record so FG does not take custody of funds (avoids money-transmitter licensing). Escrow = Stripe delayed payout , not FG holding funds — describe it accurately.	COUNSEL CLAUDE
Cross-border payouts	Confirm Stripe Connect supports MX-domiciled connected accounts and payouts to Mexican banks, and the entity/structure required	YOU
KYC / AML	Stripe Connect performs KYC/AML on owners (payees) and sanctions/OFAC screening; ensure flows accept non-US persons	CLAUDE
PCI-DSS	Use Stripe-hosted/embedded card elements → keep FG in the lightest scope (SAQ-A); never touch raw card data	CLAUDE
1099-K (US)	Stripe issues 1099-K to US owners over thresholds; collect W-9 from US owners and W-8BEN from non-US owners	COUNSEL
FX / disclosures	If an FX spread is adopted, disclose it transparently; show currency + rate on every transaction	CLAUDE

4 • Identity & Ownership Verification (US vs non-US)

US-centric verification will not work for everyone. SSN-based checks and US background screens fail for Mexican and other non-US owners and guests. Verification must be document/passport-based and internationally capable.

Check	US person	Non-US (MX / other)
Owner identity (Gate 1)	Stripe KYC: SSN last 4, US ID	Stripe KYC with passport / INE / CURP / RFC — confirm Stripe supports the owner's country
Property ownership (Gate 2)	Deed, property-tax statement, utility bill, insurance dec	Mexico: fideicomiso (bank trust) or escritura / Mexican-corp docs
Guest screening (add-on)	Truvi ID + fraud check	Confirm Truvi covers non-US guest IDs (Mexican/EU/etc.); avoid US-only SSN-trace screens
Guest payment identity	Card AVS/3-D Secure	Support Mexican cards and 3-D Secure; consider local methods (e.g., OXXO) via Stripe

5 • E-Signatures & Contracts (DocuSeal differences)

Aspect	US	Mexico
E-signature validity	ESIGN Act + UETA — simple e-signatures broadly enforceable; DocuSeal audit trail sufficient	Código de Comercio recognizes electronic signatures; stronger evidentiary weight may need NOM-151 conservation/timestamp or advanced signature (e.firma). Keep a robust audit trail
Contract language	English acceptable	Provide a Spanish version; Spanish generally controls for Mexican consumers
Governing law / venue	State the governing law and dispute venue clearly per home's location	Same — and account for Mexican consumer-protection rules
Consumer protection	State consumer law; clear disclosures	PROFECO / LFPC may apply to contracts with Mexican consumers — fair terms, Spanish disclosures

Action: bilingual rental agreement and booking terms, governing-law clause keyed to the home's country, NOM-151-style conservation for Mexican agreements, attorney review of templates. DocuSeal works for both, but the **legal wrapper** around it differs by country. **COUNSEL** **CLAUDE**

6 • Data Privacy (Mexican & other non-US renters)

We will hold personal data of owners, guests, and caretakers across countries — triggering multiple privacy regimes.

Regime	Applies to	Key obligations
LFPDPPP (Mexico)	Mexican data subjects	Spanish aviso de privacidad (privacy notice), consent, ARCO rights, cross-border transfer disclosure
GDPR / UK GDPR	EU/UK guests (a target guest origin)	Lawful basis, data-subject rights, transfer safeguards (SCCs), DPA with subprocessors
CCPA/CPRA	California (US) residents	Notice, opt-out, data-subject requests
PIPEDA	Canadian residents	Consent, access, accountability

Actions: a multi-jurisdiction **privacy policy** (EN/ES), cookie/consent handling, a subprocessor list (Supabase, Stripe, Resend, DocuSeal, Truvi, Anthropic, Vercel) with data-processing agreements, data-retention and deletion workflows, and PII minimization (already a design principle — no SSNs stored). **COUNSEL** **CLAUDE**

7 • Short-Term-Rental Local Regulations

	US homes	Mexico homes
Permits / registration	Many cities require STR permits, registration numbers, occupancy/zoning limits	Municipal STR/tourism registration and lodging-tax enrollment in some states
Platform exposure	Some cities require the listing to display a permit number	Lower, but evolving
Our approach	Require owner to attest local compliance at listing; store the attestation; display permit field where needed	Same attestation model

8 • Platform Legal Foundation

- **Entity structure:** US LLC for the platform; determine with counsel whether a **Mexican entity / RFC** is required for the \$1 withholding/payments question. **COUNSEL** **YOU**
- **Core legal docs (EN/ES):** Terms of Service, Privacy Policy, Acceptable Use, Owner Agreement, Guest Booking Terms, cancellation/refund policy. **COUNSEL**
- **Insurance:** platform general liability, E&O/professional, and cyber. **YOU**
- **Escrow language:** describe the hold accurately (Stripe delayed payout) — do not imply FG holds funds in a regulated trust. **COUNSEL**
- **Booking guarantee:** keep deferred until a funded reserve and clear payout rules exist (already noted). **YOU**

Compliance Steps to Add (summary checklist)

Step	Who
☐ Engage cross-border tax attorney + Mexican counsel + privacy counsel	YOU
☐ Resolve Mexico digital-platform withholding (ISR/IVA, SAT, RFC) structure	COUNSEL

☐	Determine US marketplace-facilitator lodging-tax obligations per state	COUNSEL	
☐	Confirm Stripe MX connected accounts + cross-border payout structure	YOU	
☐	Collect W-9 (US) / W-8BEN (non-US) from owners; 1099-K handling	COUNSEL	
☐	Verification flows for non-US IDs (passport/INE/CURP/RFC); confirm Truvi non-US coverage	CLAUDE	
☐	Gate-2 ownership docs: accept fideicomiso/escritura + US deeds	CLAUDE	
☐	Bilingual rental agreement + booking terms; governing-law clause; NOM-151 for MX	COUNSEL	CLAUDE
☐	Multi-jurisdiction privacy policy (LFPDPPP/GDPR/CCPA/PIPEDA) + aviso de privacidad	COUNSEL	CLAUDE
☐	Subprocessor list + DPAs; data retention/deletion workflows	CLAUDE	
☐	Owner local-STR-compliance attestation at listing	CLAUDE	
☐	Lodging-tax line items (US TOT / MX ISH) shown per booking	CLAUDE	
☐	Platform entity + insurance (GL, E&O, cyber)	YOU	
☐	Tax-export reports for owners (no tax advice)	CLAUDE	

YOU

founder action

COUNSEL

needs a professional

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buildable in product